

List 12. Multinomial Logit

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1 Regression fitting

#1. For the dataset `Diamond` consider a regression

`certification on price & carat.`

1. write down the specification
2. Evaluate matrices of regression design $\mathbf{y}, \mathbf{X}$
3. Evaluate coefficients of the fitted model via regression specification (via formula)

4. Evaluate coefficients of the fitted model via matrices of regression design
5. Interpret coefficients of the fitted model

#2. For the dataset `Diamond` consider a regression

`colour on log(price) & carat.`

1. write down the specification
2. Evaluate matrices of regression design $\mathbf{y}, \mathbf{X}$
3. Evaluate coefficients of the fitted model via regression specification (via formula)
4. Evaluate coefficients of the fitted model via matrices of regression design
5. Interpret coefficients of the fitted model

#3. For the dataset `Diamond` consider a regression

`clarity on price, carat, carat2.`

1. write down the specification
2. Evaluate matrices of regression design $\mathbf{y}, \mathbf{X}$
3. Evaluate coefficients of the fitted model via regression specification (via formula)
4. Evaluate coefficients of the fitted model via matrices of regression design
5. Interpret coefficients of the fitted model

#4. For the dataset `diamonds` consider a regression

`cut on log(price), carat, x, y, z.`

1. write down the specification

2. Evaluate matrices of regression design $\mathbf{y}, \mathbf{X}$
3. Evaluate coefficients of the fitted model via regression specification (via formula)
4. Evaluate coefficients of the fitted model via matrices of regression design
5. Interpret coefficients of the fitted model

#5. For the dataset `diamonds` consider a regression

`color on log(price), carat, carat2, x, y, z.`

1. write down the specification
2. Evaluate matrices of regression design $\mathbf{y}, \mathbf{X}$
3. Evaluate coefficients of the fitted model via regression specification (via formula)
4. Evaluate coefficients of the fitted model via matrices of regression design
5. Interpret coefficients of the fitted model

#6. For the dataset `diamonds` consider a regression

`clarity on log(price), log2(price), carat, x, y, z.`

1. write down the specification
2. Evaluate matrices of regression design $\mathbf{y}, \mathbf{X}$
3. Evaluate coefficients of the fitted model via regression specification (via formula)
4. Evaluate coefficients of the fitted model via matrices of regression design
5. Interpret coefficients of the fitted model

2 z-test

For each text calculate related critical values.

2.1 Significance

#1. For the dataset `Diamond` consider a regression

`certification on price & carat.`

1. Fit the regression
2. For each coefficient evaluate s.e., z-stat & p-value for z-test on the significance
3. Evaluate a related critical value
4. For each coefficient perform z-test for the significance and state a testing hypothesis. Make conclusions

#2. For the dataset `Diamond` consider a regression

`colour on price & carat.`

1. Fit the regression
2. For each coefficient evaluate s.e., z-stat & p-value for z-test on the significance
3. Evaluate a related critical value
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#4. For the dataset **diamonds** consider a regression

cut on log(price), carat, x, y, z.

1. Fit the regression
2. For each coefficient evaluate s.e., z-stat & p-value for z-test on the significance
3. Evaluate a related critical value
4. For each coefficient perform z-test for the significance and state a testing hypothesis. Make conclusions

#5. For the dataset **diamonds** consider a regression

color on log(price), carat, x, y, z.

1. Fit the regression
2. For each coefficient evaluate s.e., z-stat & p-value for z-test on the significance
3. Evaluate a related critical value
4. For each coefficient perform z-test for the significance and state a testing hypothesis. Make conclusions

#6. For the dataset **diamonds** consider a regression

clarity on log(price), carat, x, y, z.

1. Fit the regression
2. For each coefficient evaluate s.e., z-stat & p-value for z-test on the significance
3. Evaluate a related critical value
4. For each coefficient perform z-test for the significance and state a testing hypothesis. Make conclusions

3 LR/Wald tests

For each text calculate related critical values.

3.1 Overall significance

#1. For the dataset `Diamond` consider a regression

`certification on price & carat.`

Test overall significance of the regression and state the testing hypothesis

#2. For the dataset `Diamond` consider a regression

`colour on price & carat.`

Test overall significance of the regression and state the testing hypothesis

#3. For the dataset `Diamond` consider a regression

`clarity on price & carat.`

Test overall significance of the regression and state the testing hypothesis

#4. For the dataset `diamonds` consider a regression

`cut on log(price), carat, x, y, z.`

Test overall significance of the regression and state the testing hypothesis

#5. For the dataset `diamonds` consider a regression

`color on log(price), carat, carat2, x, y, z.`

Test overall significance of the regression and state the testing hypothesis

#6. For the dataset `diamonds` consider a regression

`clarity on log(price), log2(price), carat, x, y, z.`

Test overall significance of the regression and state the testing hypothesis

3.2 Joint significance

#7. For the dataset `diamonds` consider a regression

cut on $\log(\text{price})$, carat, x, y, z.

Test joint significance of regressors x, y, z and state the testing hypothesis

#8. For the dataset `sleep75` consider a regression

cut on $\log(\text{price})$, carat, carat², x, y, z.

Test the significance of carat and state the testing hypothesis

#9. For the dataset `sleep75` consider a regression

cut on $\log(\text{price})$, $\log^2(\text{price})$, carat, x, y, z.

Test the significance of carat and state the testing hypothesis

4 Confidence intervals

#1. For the dataset `Diamond` consider a regression

certification on price & carat.

Evaluate 90%-level confidence intervals for coefficients.

Which are significant at 10%-significant level?

#2. For the dataset `diamonds` consider a regression

cut on $\log(\text{price})$, carat, x, y, z.

Evaluate 95%-level confidence intervals for coefficients.

Which are significant at 5%-significant level?

#3. For the dataset `diamonds` consider a regression

color on $\log(\text{price})$, carat, x, y, z, x², y², z².

Evaluate 99%-level confidence intervals for coefficients.

Which are significant at 1%-significant level?

5 Prediction

#1. For the dataset `Diamond` consider a regression

`certification` on `price` & `carat`.

Consider diamonds with characteristics

	price	carat
1	1260	0.3
2	1427	0.32
3	5193	0.71
4	9573	1.01

#2. For the dataset `Diamond` consider a regression

`colour` on `log(price)`, `carat`, `carat2`.

Consider diamonds with characteristics

	price	carat
1	1555	0.31
2	6709	0.89
3	5030	0.73
4	9302	1.06

#3. For the dataset `Diamond` consider a regression

`clarity` on `log(price)`, `log2(price)`, `carat`.

Consider diamonds with characteristics

	price	carat
1	1126	0.31
2	1911	0.4
3	3651	0.57
4	9153	1.01